

advisers.

Simply, *things that move*, and therefore require knowledge, do not usually have experts, while things that don't move seem to have some experts. In other words, professions that deal with the future and base their studies on the nonrepeatable past have an expert problem (with the exception of the weather and businesses involving short-term physical processes, not socioeconomic ones). I am not saying that no one who deals with the future provides any valuable information (as I pointed out earlier, newspapers can predict theater opening hours rather well), but rather that those who provide no tangible added value are generally dealing with the future.

Another way to see it is that things that move are often Black Swan-prone. Experts are narrowly focused persons who need to “tunnel.” In situations where tunneling is safe, because Black Swans are not consequential, the expert will do well.

Robert Trivers, an evolutionary psychologist and a man of supernormal insights, has another answer (he became one of the most influential evolutionary thinkers since Darwin with ideas he developed while trying to go to law school). He links it to self-deception. In fields where we have ancestral traditions, such as pillaging, we are very good at predicting outcomes by gauging the balance of power. Humans and chimps can immediately sense which side has the upper hand, and make a cost-benefit analysis about whether to attack and take the goods and the mates. Once you start raiding, you put yourself into a delusional mind-set that makes you ignore additional information—it is best to avoid wavering during battle. On the other hand, unlike raids, large-scale wars are not something present in human heritage—we are new to them—so we tend to misestimate their duration and overestimate our relative power. Recall the underestimation of the duration of the Lebanese war. Those who fought in the Great War thought it would be a mere cakewalk. So it was with the Vietnam conflict, so it is with the Iraq war, and just about every modern conflict.

You cannot ignore self-delusion. The problem with experts is that they do not know what they do not know. Lack of knowledge and delusion about the quality of your knowledge come together—the same process that makes you know less also makes you satisfied with your knowledge.

Next, instead of the range of forecasts, we will concern ourselves with the accuracy of forecasts, i.e., the ability to predict the number itself.

How to Have the Last Laugh

We can also learn about prediction errors from trading activities. We quants